

Notes: Bebchuk and Cohen (JFE, 2005)

The Costs of Entrenched Boards

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1 Big picture

This paper studies whether **staggered boards** reduce firm value. A staggered board, also called a classified board, divides directors into classes so that only one class is elected each year. This means shareholders cannot replace a majority of directors in a single annual election. In the modern takeover environment, where boards can use poison pills to block hostile bids, a staggered board is a powerful antitakeover device because a bidder usually needs to win two elections before gaining control.

The paper’s central empirical result is that staggered boards are associated with lower firm value, measured by industry-adjusted Tobin’s Q . This association remains after controlling for firm size, firm age, Delaware incorporation, industry and year fixed effects, insider ownership, return on assets, capital expenditures, research and development, and other takeover-defense provisions in the Gompers-Ishii-Metrick governance index.

The economic interpretation is that protection from removal can have costs. By insulating directors and managers from replacement, staggered boards may weaken takeover discipline, reduce accountability in proxy contests, and allow management to reject value-increasing acquisition offers. The authors also show that the negative association is concentrated in **charter-based** staggered boards, which shareholders cannot unilaterally remove, rather than **bylaws-based** staggered boards, which shareholders can amend.

2 Incremental contribution of the paper

The paper makes several incremental contributions to the corporate governance literature.

1. **It isolates the governance provision that matters most.** Gompers, Ishii, and Metrick document that a broad index of management-favoring provisions predicts lower firm value. This paper shows that staggered boards are a major driver of that association.
2. **It focuses on the key source of managerial entrenchment.** Other takeover defenses may be largely redundant once poison pills are available. Staggered boards remain central because they make it hard for shareholders or hostile bidders to replace the board.
3. **It distinguishes legal strength across staggered boards.** The paper separates charter-based staggered boards from bylaws-based staggered boards. This distinction matters because shareholders can generally amend bylaws but cannot amend charters without board initiation.
4. **It explores simultaneity using pre-1990 status.** The authors exploit the fact that shareholders in the 1990s were generally unwilling to approve new charter-based staggered boards. Thus, for older firms, having a staggered board in 1990 largely predicts later staggered-board status and helps address reverse causality from low late-1990s value to later board classification.
5. **It provides economic magnitudes.** In pooled regressions, the presence of a staggered board is associated with industry-adjusted Tobin’s Q lower by roughly 0.17, and pre-1990 staggered-board

status is associated with Q lower by about 0.06.

3 Institutional background and economic intuition

3.1 Why staggered boards matter

A firm with a unitary board elects all directors annually. A firm with a staggered board elects only a subset of directors each year, usually one-third. Therefore, even if shareholders strongly oppose the incumbent board, they cannot ordinarily replace a majority in one election.

This matters in two settings.

- **Proxy fights.** A dissident slate must win more than one annual meeting to obtain control, which raises the cost and delay of a challenge.
- **Hostile takeovers.** A hostile bidder facing a poison pill needs to replace the board to redeem the pill. A staggered board forces the bidder to wait through two elections, making hostile bids more difficult and less attractive.

The paper therefore interprets staggered boards as a strong form of protection from removal. The main theoretical ambiguity is whether this protection is good or bad for shareholders. It might help boards bargain for higher takeover premia or take a long-term view. But it might also weaken discipline and let managers reject value-enhancing offers.

3.2 Charter-based versus bylaws-based boards

The paper emphasizes a distinction between two legal forms of staggered boards.

- **Charter-based staggered boards** are entrenched because shareholders cannot amend the corporate charter without board action.
- **Bylaws-based staggered boards** are weaker because shareholders can generally amend bylaws.

This distinction gives the authors a useful internal comparison: if staggered boards reduce value because they provide strong insulation from removal, then the negative association should be stronger for charter-based boards than for bylaws-based boards.

4 Data and measurement

4.1 Sample

The sample consists of firms covered by the Investor Responsibility Research Center (IRRC) volumes in 1995, 1998, 2000, and 2002. These IRRC firms account for more than 90% of U.S. stock-market capitalization in publication years. The authors fill missing years using adjacent IRRC volumes, following the convention that reported governance provisions apply to neighboring years.

The data combine several sources:

- **Governance provisions:** IRRC takeover-defense data, including staggered boards and other governance provisions.
- **Charter versus bylaws coding:** hand-coded from IRRC volumes because the electronic IRRC data identify staggered boards but not the source of the provision.
- **Financial data:** Compustat.
- **Firm age:** the Gompers-Ishii-Metrick data set, based on CRSP pricing-history availability.

The authors exclude dual-class firms, because superior voting rights can be the main entrenchment device, and they exclude REITs, which have special governance structures.

4.2 Main variables

The dependent variable is industry-adjusted Tobin's Q :

$$Q_{it}^{adj} = Q_{it} - \text{Median}(Q_{jt} : j \in \text{same two-digit SIC industry in year } t). \quad (1)$$

The proxy for Tobin's Q follows Kaplan and Zingales and Gompers-Ishii-Metrick:

$$Q_{it} = \frac{\text{Book assets}_{it} + \text{Market value of common stock}_{it} - \text{Book common equity}_{it} - \text{Deferred taxes}_{it}}{\text{Book assets}_{it}}. \quad (2)$$

The main explanatory variables are:

- $\text{StaggeredBoard}_{it}$: equal to one if the firm has a staggered board.
- CharterSB_{it} : equal to one if the staggered board is established in the charter.
- BylawsSB_{it} : equal to one if the staggered board is established in the bylaws.
- GIM_{it}^* : the Gompers-Ishii-Metrick governance index excluding the staggered-board component.

Control variables include log assets, log firm age, Delaware incorporation, industry fixed effects, year fixed effects, insider ownership and its square, return on assets, capital expenditures over assets, research and development over sales, and an R&D missing-data indicator.

5 Models and empirical specifications

5.1 Baseline pooled regressions

The baseline specification estimates the association between staggered boards and firm value:

$$Q_{it}^{adj} = \alpha + \beta \text{StaggeredBoard}_{it} + \gamma \text{GIM}_{it}^* + X'_{it} \delta + \lambda_{industry} + \tau_t + \varepsilon_{it}. \quad (3)$$

The coefficient of interest is β . The paper predicts that if staggered boards are costly entrenchment devices, then $\beta < 0$.

The authors also estimate versions that use $\log(GIM^*)$ rather than GIM^* and versions with additional firm controls. Robust standard errors are used throughout.

5.2 Annual regressions

To check whether the pooled result is driven by any single year, the authors estimate annual cross-sectional regressions:

$$Q_i^{adj} = \alpha_t + \beta_t StaggeredBoard_i + \gamma_t GIM_i^* + X_i' \delta_t + \varepsilon_i. \quad (4)$$

They report year-by-year coefficients and Fama-MacBeth averages.

5.3 1990 staggered-board regressions

The simultaneity concern is that low-value firms might choose staggered boards, rather than staggered boards causing low value. The authors address this by focusing on firms that went public before 1990 and asking whether the firm's 1990 staggered-board status predicts value during 1995–2002:

$$Q_{it}^{adj} = \alpha + \beta StaggeredBoard_{i,1990} + \gamma GIM_{i,1990/current}^* + \theta Q_{i,1990}^{adj} + X_{it}' \delta + \lambda_{industry} + \tau_t + \varepsilon_{it}. \quad (5)$$

The logic is that shareholder approval was generally needed to add a charter-based staggered board after 1990 and such approval was difficult to obtain. Thus, 1990 status is plausibly predetermined relative to 1995–2002 valuation outcomes, although the authors are careful not to claim a fully causal research design.

5.4 Charter versus bylaws specification

The final main specification separates strong and weak staggered boards:

$$Q_{it}^{adj} = \alpha + \beta_C CharterSB_{it} + \beta_B BylawsSB_{it} + \gamma GIM_{it}^* + X_{it}' \delta + \lambda_{industry} + \tau_t + \varepsilon_{it}. \quad (6)$$

The paper's key prediction is $\beta_C < 0$ and β_C more negative than β_B , because charter-based boards are harder for shareholders to remove.

6 Identification and empirical design

The paper is observational, so the main empirical challenge is interpretation rather than mechanical estimation. The authors use several strategies to make the negative association more informative.

1. **Extensive controls.** The regressions control for size, age, Delaware incorporation, industry, year, other governance provisions, insider ownership, profitability, investment, and R&D.
2. **Disaggregating the GIM index.** By removing the staggered-board component from the governance index, the paper tests whether staggered boards matter above and beyond other management-favoring provisions.
3. **Year-by-year regressions.** The annual results show that the negative association is not concentrated in one publication year.
4. **Pre-1990 firms and 1990 board status.** Because firms generally could not add charter-based staggered boards in the 1990s without shareholder approval, the persistence of 1990 staggered-board status helps address reverse causality from later low Q to later adoption.
5. **Charter versus bylaws comparison.** Stronger legal insulation is more negatively related to firm value, which supports the interpretation that entrenchment is the relevant mechanism.

The remaining limitation is that omitted variables may still explain both the existence of staggered boards and lower value. The authors therefore present the evidence as suggestive rather than definitive causal proof.

7 Main results

7.1 Staggered boards are common

Roughly 60% of IRRC firms have staggered boards throughout 1995–2002. Most staggered boards are charter-based. Bylaws-based boards are a minority, generally around 5–7% of all firms and roughly 9–12% of firms with staggered boards.

7.2 Staggered boards predict lower Tobin’s Q

In pooled regressions, staggered boards have negative and statistically significant coefficients across specifications. The coefficient is around -0.21 without the other-provisions index and remains around -0.17 after controlling for other governance provisions and firm characteristics. This suggests that the association is not merely a broad GIM-index effect.

7.3 The result holds in annual regressions

The coefficient on staggered boards is negative in every annual regression. The annual estimates are statistically significant in most years, and the Fama-MacBeth coefficients are negative and significant at the 1% level.

7.4 1990 staggered-board status predicts later value

For firms that went public before 1990, staggered-board status in 1990 predicts lower industry-adjusted Tobin's Q during 1995–2002. This remains true even after controlling for 1990 Tobin's Q . The estimated effect is smaller than in the pooled contemporaneous regressions, about -0.06 , but still economically meaningful.

7.5 The negative association is concentrated in charter-based boards

When the authors split staggered boards into charter-based and bylaws-based provisions, the charter-based coefficient is negative and significant in all specifications. The bylaws-based coefficient is negative but statistically insignificant. This supports the paper's legal mechanism: staggered boards are most costly when they effectively prevent determined shareholders from removing the board.

8 Tables and figures

8.1 Incidence and cross-sectional patterns

Table 1
Incidence of staggered boards

This table provides the percentage of all firms in the IRRC data in each of the years 1995, 1998, 2000, and 2002 that have staggered boards, charter-based staggered boards, and bylaws-based staggered boards. Information about whether firms have a staggered board is taken from the IRRC data on WRDS, and information about whether staggered boards are established by the charter or the bylaws is taken from the IRRC volumes published in each of these years.

Year	Staggered board (%)	Charter-based staggered board (%)	Bylaws-based staggered board (%)
1995	61.4	54.0	7.4
1998	59.0	53.5	5.5
2000	60.3	54.5	5.8
2002	61.6	54.9	6.7

Table 1. Incidence of staggered boards

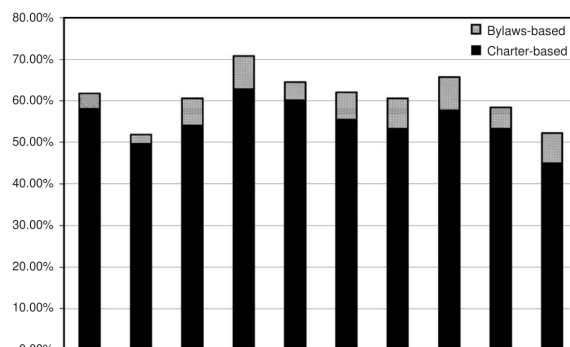


Figure 1. Staggered board incidence by market capitalization

Read: Table 1 shows that about 59–62% of IRRC firms had staggered boards from 1995 to 2002. The majority are charter-based, while bylaws-based staggered boards are a small minority. Figure 1 shows that staggered boards are present across all market-capitalization deciles.

Economic message: Staggered boards are not a niche governance provision. They are widespread across large and small public firms, so their valuation consequences matter for a substantial part of the U.S. equity market.

8.2 Cohorts and state of incorporation

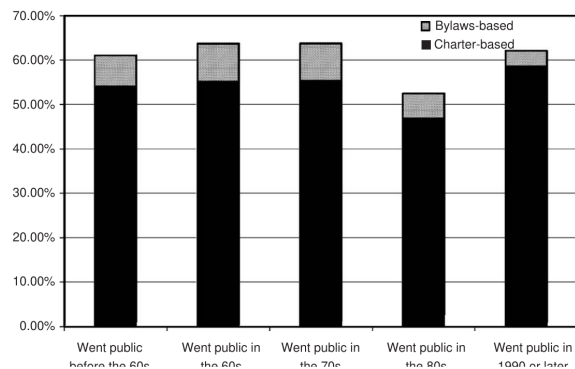


Figure 2. Staggered board incidence by IPO cohort

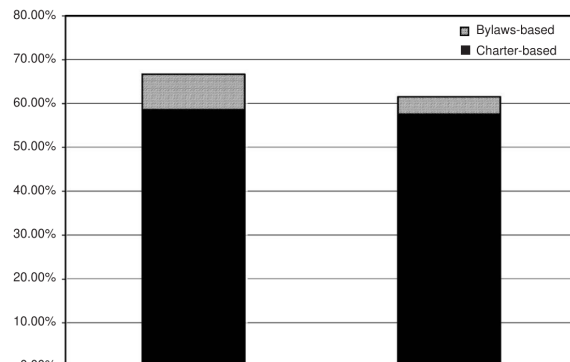


Figure 3. Staggered board incidence by Delaware status

Read: Figure 2 shows that staggered boards are present among both old and newly public firms, though the fraction of bylaws-based boards varies by cohort. Figure 3 shows similar overall staggered-board incidence for Delaware and non-Delaware firms, but bylaws-based boards are somewhat less common among Delaware firms.

Economic message: The staggered-board pattern is broad across firm age and incorporation status. This reduces concern that the result is only about one narrow cohort or only about Delaware law.

8.3 Pooled and annual valuation regressions

Table 2
Staggered boards and firm value

This table reports pooled ordinary least squares (OLS) regressions of industry-adjusted Tobin's Q on staggered boards and various controls. Tobin's Q is the ratio of the market value of assets and the book value of assets, where the market value of assets is computed as book value of assets plus the market value of common stock less the sum of book value of common stock and balance sheet-deferred taxes. Industry-adjusted Tobin's Q is equal to Tobin's Q minus the median Tobin's Q in the industry, where industry is defined by the two-digit SIC code. The staggered board dummy is equal to one if the firm has a staggered board provision, and zero otherwise. The other provisions index is equal to the GIM Index (Gompers et al., 2003) minus one if the company has a staggered board, and equal to the GIM index otherwise. Insider Ownership is equal to the fraction of shares held by insiders. ROA is the ratio of net income to total assets. CAPEX/Assets is the ratio of capital expenditures to assets. R&D Sales is the ratio of research and development expenditures to total sales. Year dummies and a dummy indicating when R&D data is missing are included in all regressions, but their coefficients (as well as the constant) are omitted. OLS estimates are White (1980) robust. Standards errors appear in parentheses and levels. Levels of significance are indicated by *, **, and *** for 10%, 50%, and 1%, respectively.

Variable	(1)	(2)	(3)	(4)
Staggered board	-0.21*** (0.034)	-0.166*** (0.036)	-0.169*** (0.035)	-0.174*** (0.044)
Index of other provisions		-0.024*** (0.006)		-0.013 (0.01)
Log (index of other provisions)			-0.179*** (0.058)	
Log (assets)	0.00 (0.009)	0.003 (0.009)	0.003 (0.009)	-0.04*** (0.013)
Log (company age)	-0.168*** (0.023)	-0.147*** (0.023)	-0.148*** (0.023)	-0.232*** (0.032)
Delaware incorporation	0.02 (0.031)	0.016 (0.031)	0.016 (0.031)	-0.017 (0.04)
Insider ownership			0.016* (0.007)	
Insider ownership squared			-0.0003*** (0.0001)	
Return on assets			0.028 (0.029)	
CAPEX/assets			1.00*** (0.325)	
R&D/sales			0.01 (0.008)	

Table 2. Staggered boards and firm value

Table 3
Staggered boards and firm value—annual regressions

This table reports annual regressions of industry-adjusted Tobin's Q on staggered boards and various controls. The independent variable is industry-adjusted Tobin's Q defined in the same way as in Table 2. The independent variables in the regression displayed in column 2 are the same as in the regression reported in column 4 of Table 2. The table reports only the coefficients of the staggered board dummy and the Index of Other Provisions. Fama-Macbeth coefficients are calculated and reported in the last row. Levels of significance are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Year	(1)		(2)	
	Staggered board	Other provisions index	Staggered board	Other provisions index
1995	-0.121* (0.074)	-0.014 (0.013)	-0.230** (0.108)	-0.006 (0.020)
1996	-0.192** (0.008)	-0.0007 (0.014)	-0.145* (0.088)	0.008 (0.019)
1997	-0.171** (0.084)	0.015 (0.016)	-0.90 (0.086)	0.005 (0.019)
1998	-0.189* (0.106)	-0.031* (0.017)	-0.222** (0.120)	0.006 (0.026)
1999	-0.325** (0.151)	-0.070** (0.028)	-0.34* (0.176)	-0.06 (0.038)
2000	-0.110 (0.111)	-0.045** (0.021)	-0.065 (0.108)	-0.034 (0.024)
2001	-0.136* (0.079)	-0.017 (0.014)	-0.078 (-0.069)	0.004 (0.015)
2002	-0.045 (0.061)	-0.018 (0.012)	-0.088* (0.053)	-0.015 (0.012)
Fama-Macbeth coefficients	-0.161*** (0.0004)	-0.023*** (0.0000)	-0.157*** (0.0006)	-0.011*** (0.0000)

Table 3. Annual regressions

Read: Table 2 shows that staggered-board coefficients are negative and statistically significant across pooled specifications. The coefficient remains around -0.17 even when the model controls for other governance provisions and additional firm characteristics. Table 3 shows that annual coefficients are negative in every year and that the Fama-MacBeth estimates are strongly significant.

Economic message: Staggered boards are not merely correlated with low value because they proxy for the whole bundle of governance provisions. They retain independent explanatory power, and the pattern is stable over time.

8.4 Simultaneity and legal strength

Table 4
1990 Staggered boards and firm value, 1996–2002

This table reports pooled OLS regressions of industry-adjusted Tobin's Q during the period 1995 to 2002 on whether the firm had a staggered board in 1990 plus various controls. The independent variable is industry-adjusted Tobin's Q as defined in the regressions of Table 2. The dummy Staggered Board 90 is equal to one if the firm had a staggered board provision in 1990 and zero otherwise. The Index of Other Provisions is equal to the GIM Index in 1990 minus one if the company had a staggered board in 1990 and equal to the GIM index in 1990 otherwise. Tobin's Q 90 is the industry-adjusted Tobin's Q in 1990. All other independent variables are defined in the same way as in the regressions of Table 2. As before, the coefficients on the constant, the year dummies, and the dummy indicating when R&D data is missing are omitted. Estimates are White (1980) robust. Standard errors appear in parentheses, and levels of significance are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Variable	(1)	(2)	(3)	(4)
Staggered board 90	−0.069** (0.034)	−0.060* (0.034)	−0.067** (0.033)	−0.06* (0.033)
Other provisions index	−0.012* (0.008)		−0.008 (0.007)	
Other provisions index 90		−0.015** (0.007)		−0.011 (0.007)
Tobin's Q 90			0.398*** (0.043)	0.397*** (0.043)
Log (assets)	0.079*** (0.011)	0.080*** (0.011)	0.076*** (0.01)	0.077*** (0.01)
Log (company age)	−0.099*** (0.036)	−0.091*** (0.036)	−0.050 (0.035)	−0.044 (0.035)
Delaware incorporation	−0.034 (0.031)	−0.029 (0.031)	−0.024 (0.03)	−0.020 (0.03)
Insider ownership	0.0067 (0.006)	0.006 (0.006)	0.006 (0.006)	0.005 (0.006)
Insider ownership squared	−0.0001 (0.0001)	−0.0001 (0.0001)	−0.0001 (0.0001)	−0.0001 (0.0001)
Return on assets	8.01*** (0.35)	8.01*** (0.351)	6.62*** (0.347)	6.62*** (0.347)
CAPEX/assets	−0.107 (0.32)	−0.103 (0.32)	0.556* (0.286)	0.549* (0.286)
R&D/sales	5.34*** (0.749)	5.35*** (0.753)	4.15*** (0.741)	4.16*** (0.744)

Table 4. 1990 staggered-board status and later firm value

Table 5
Charter-based staggered boards vs. bylaws-based staggered boards

This table reports pooled OLS regressions of industry-adjusted Tobin's Q on charter-based staggered boards and bylaws-based staggered boards, plus various controls. The regressions are the same as those reported in columns 2, 3, and 4 of Table 2 except that the independent variable staggered board is replaced by two independent variables: (i) charter-based staggered board, which is equal to one if the firm has a staggered board provision in its charter, and zero otherwise, and (ii) bylaws-based staggered board, which is equal to one if the firm has a staggered board provision in its bylaws (but not in its charter), and zero otherwise. As before, the coefficients on the constant, the year dummies, and the dummy indicating when R&D data is missing are omitted. Estimates are White (1980) robust. Standard errors appear in parentheses, and levels of significance are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Variable	(1)	(2)	(3)
Charter-based staggered board	−0.170*** (0.036)	−0.172*** (0.036)	−0.184*** (0.044)
Bylaws-based staggered board	−0.086 (0.054)	−0.087 (0.054)	−0.071 (0.074)
Other provisions index	−0.025*** (0.006)		−0.013 (0.010)
Log (other provisions index)		−0.183*** (0.057)	
Log (assets)	0.003 (0.009)	0.003 (0.009)	−0.042 (0.013)
Log (company age)	−0.148*** (0.023)	−0.149*** (0.023)	−0.234*** (0.031)
Delaware incorporation	0.019 (0.032)	0.019 (0.032)	−0.014 (0.041)
Insider ownership			0.016** (0.007)
Insider ownership squared			−0.0003** (0.0001)
Return on assets			0.028 (0.029)
CAPEX/assets			0.967*** (0.326)
R&D/sales			0.011 (0.008)

Table 5. Charter-based versus bylaws-based staggered boards

Read: Table 4 shows that having a staggered board in 1990 predicts lower Q during 1995–2002, even after controlling for 1990 Q . Table 5 shows that the negative association is statistically significant for charter-based staggered boards but not for bylaws-based staggered boards.

Economic message: The simultaneity evidence weakens the idea that low late-1990s firm value simply led firms to adopt staggered boards. The charter-versus-bylaws split further supports the entrenchment interpretation: the stronger the legal insulation from removal, the stronger the negative association with value.

9 Short summary

Bebchuk and Cohen study whether entrenched boards are costly to shareholders. Their key governance variable is the staggered board, which prevents shareholders from replacing a board majority in a single election and becomes particularly powerful when combined with poison pills.

Their main result is a robust negative association between staggered boards and industry-adjusted Tobin's Q . The effect remains after controlling for other governance provisions, size, age, Delaware incorporation, industry, year, insider ownership, profitability, capital expenditures, and R&D. The annual regressions show the same negative pattern year by year.

The paper then addresses simultaneity by focusing on firms that went public before 1990. Since shareholders were generally unwilling to approve new charter-based staggered boards in the 1990s,

a firm’s 1990 staggered-board status is informative about later status. The authors find that 1990 staggered-board status predicts lower 1995–2002 value even after controlling for 1990 Q .

Finally, the paper shows that the negative association is concentrated in charter-based staggered boards, which shareholders cannot unilaterally amend. Bylaws-based staggered boards, which shareholders can amend, are not significantly associated with lower value.

10 Conclusion

10.1 Core conclusion

The paper concludes that staggered boards are associated with economically meaningful reductions in firm value. The evidence is consistent with the view that insulating boards from removal imposes agency costs on shareholders.

10.2 Economic intuition

Staggered boards protect incumbent directors and managers from both proxy contests and hostile takeovers. This protection may reduce takeover discipline and permit value-reducing managerial behavior. The legal distinction between charter-based and bylaws-based boards reinforces this interpretation: stronger insulation is associated with a stronger valuation discount.

10.3 Incremental contribution revisited

The paper’s contribution is not just that “bad governance” predicts lower value. It identifies one particular governance provision—the staggered board—as especially important. It also shows that the legal form of the staggered board matters, with charter-based boards driving the result.

10.4 Implications

The findings support shareholder efforts to declassify boards, especially charter-based staggered boards. They also suggest that governance indices should not treat all provisions equally: some provisions, such as staggered boards, carry much more economic weight than others.

10.5 Limitations

The paper cannot fully eliminate omitted-variable and selection concerns. Firms with staggered boards may differ in unobserved ways from firms without them. The 1990-status analysis and the charter-versus-bylaws evidence make the entrenchment interpretation more plausible, but they do not deliver a clean randomized causal design.

10.6 Takeaway

The central takeaway is that entrenched boards appear costly. In U.S. public firms, staggered boards—especially charter-based staggered boards—are associated with lower market valuation, and they explain an important part of the relation between governance provisions and firm value.